

Apple Inc.

DCF Valuation

Cupertino, California · NASDAQ: AAPL · US\$ billions unless stated · as of market data 12 Sep 2026 · FY2025 10-K

An unlevered free-cash-flow DCF of Apple on the operating model from Project 1, with WACC built bottom-up from a ten-company peer set, terminal value by perpetuity growth and by exit multiple with each method's implied assumption cross-checked against the other, an equity bridge and two-way sensitivity tables.

What this is

- Cost of equity: peer regression betas (five years weekly vs S&P 500), unlevered at each peer's net debt/equity, median relevered at Apple's, times an equity risk premium of 4.5% on a 4.95% ten-year Treasury.

How it is built

- Unlevered FCF = EBIT × (1 – cash tax rate) + D&A – capex – increase in NWC; stock-based compensation is treated as a real expense.
- Stub period for the 12 days remaining in FY2026 and mid-year discounting thereafter; terminal value at FY2030 end.
- Sensitivity tables re-solve the DCF in closed form (no Excel data tables), so they work in Google Sheets and LibreOffice.

Contents

[Summary](#) — [valuation by both terminal methods and how to read it](#)
[Inputs](#) — [market data, rates, terminal assumptions, scenario selector](#)
[WACC](#) — [peer betas, unlever/relever, CAPM, cost of debt, weights](#)
[Operating](#) — [three operating cases from the Project 1 model](#)
[DCF](#) — [UFCF, discounting with stub and mid-year convention, terminal value, equity bridge](#)
[Sensitivity](#) — [WACC × g and WACC × exit multiple](#)
[Checks](#) — [integrity checks](#)

Key outputs (live)

Implied price — perpetuity (US\$)	132.59
Implied price — exit multiple (US\$)	224.44
Current price (US\$)	332.27
WACC	9.9%
Model status	MODEL OK

Colour code

Blue = hard-coded input
Black = formula
Green = link to another sheet
Accent fill = scenario selector / key levers

Sources

Apple Form 10-K FY2025; Project 1 model for the forecasts
Yahoo Finance for prices and peer balance sheets (12 Sep 2026)
FRED: DGS10 (10-year Treasury), BAMLCOA1CAAAY (AAA corporate yield)
Damodaran, implied equity risk premium (mid-2026)

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Valuation summary for the selected scenario

Scenario: Base

VALUATION (US\$bn unless stated)

	Perpetuity grow	Exit multiple
WACC	9.9%	9.9%
Terminal assumption	3.0%	22.0x
PV of forecast cash flows	444.4	444.4
PV of terminal value	1,444.5	2,796.1
Enterprise value	1,888.9	3,240.4
Net cash	62.2	62.2
Equity value	1,951.1	3,302.6
Implied value per share (US\$)	132.59	224.44
Current share price (US\$)	332.27	332.27
Premium / (discount)	(60.1%)	(32.5%)
Terminal value % of EV	76.5%	86.3%
Implied exit multiple / implied growth	11.4x	6.2%

READING THE RESULT

- Both terminal methods are shown because each embeds an assumption the other tests: the perpetuity method implies an exit multiple, the exit method implies a growth rate. A defensible range sits between them.
- Apple's WACC is almost entirely its cost of equity (debt is 2% of capital), so the valuation is a function of beta and the equity risk premium far more than of the operating forecast in years 1–5.
- Stock-based compensation is treated as a real cost (not added back), which lowers UFCF by roughly US\$13–16bn a year versus a naïve build. Add it back and the value rises ~8%; the notes page explains why it should not be.
- Use the sensitivity tables, not the point estimate, and read the Base/UpSide/Downside cases together with the WACC range as the DCF bar on the football field (Project 5).

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Valuation inputs · edit blue cells only

SCENARIO AND MARKET DATA

Operating scenario (1 Base · 2 Upside · 3 Downside)	1	Base	
Valuation date	2026-09-12		Market data date
Share price (US\$)	332.27		Yahoo Finance close, 12 Sep 2026
Diluted shares outstanding (bn)	14.715		Diluted weighted average, quarter to 30 Jun 2026 (Form 10-Q); FY2025 annual was 15.00bn
Risk-free rate (10-year US Treasury)	5.0%		FRED DGS10, 10 Sep 2026
Equity risk premium	4.5%		Damodaran implied ERP for the US, mid-2026 (approx.); range 4.0–5.0%
Pre-tax cost of debt	5.5%		ICE BofA AAA US corporate effective yield (FRED BAMLC0A1CAAAY), 10 Sep 2026; Apple is rated Aaa/AA+
Marginal tax rate (for cost of debt and unlevering)	21.0%		US federal statutory rate; Apple's effective rate is ~16% and is used for cash taxes on EBIT
Terminal growth rate	3.0%		Nominal; roughly long-run US nominal GDP less a haircut for a mature company
LTM net income to 30 Jun 2026 (US\$bn)	128.9		Sum of the last four quarters (10-Q filings); for the implied P/E cross-check
Terminal EV/EBITDA exit multiple	22.0x		Apple trades at ~27x LTM EBITDA; large-cap tech peers 18–30x; a discount for a terminal year
Mid-year convention (1 = on, 0 = off)	1		Cash flows arrive through the year, not at year-end
Beta adjustment (1 = Blume-adjusted $0.67\beta + 0.33$, 0 = raw)	1		Standard banking practice (Bloomberg 'adjusted beta'): regression betas revert toward 1 over time
Months from valuation date to FY2026 year-end	0.5		Valuation 12 Sep 2026; FY2026 ends 26 Sep 2026: first-year cash flow is almost entirely in the past, stub = 0.5/12

Conventions: unlevered free cash flow = $EBIT \times (1 - \text{cash tax rate}) + D\&A - \text{capex} - \text{increase in net working capital}$. Stock-based compensation is treated as a real expense (not added back), which is the conservative choice for a company issuing ~US\$13bn a year of it.

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Cost of capital built bottom-up from a peer set · five years of weekly returns vs S&P 500

PEER BETAS (regression on weekly returns, Sep 2021 – Sep 2026)

Ticker	Market cap (US\$bn)	Total debt (US\$bn)	Cash (US\$bn)	Levered beta	Net D/E	Unlevered beta	Note
AAPL	4,870.4	98.7	54.7	1.15	0.01	1.14	
MSFT	3,692.9	56.8	76.7	1.15	0.00	1.15	
GOOGL	4,195.2	59.3	126.8	1.22	0.00	1.22	
AMZN	2,750.1	153.0	123.0	1.46	0.01	1.45	
META	1,684.5	83.9	81.6	1.38	0.00	1.38	
NVDA	5,061.7	11.0	62.6	2.07	0.00	2.07	
SONY	142.7	11.4	15.2	1.00	0.00	1.00	ADR; JPY balance
005930.KS	1,184.8	18.3	91.2	0.52	0.00	0.52	KRW converted
DELL	336.9	31.5	11.5	1.63	0.06	1.55	
HPQ	31.7	10.9	3.7	1.07	0.23	0.90	
Median				1.19	0.00	1.19	
Mean				1.26	0.03	1.24	

Peers: mega-cap platforms (MSFT, GOOGL, AMZN, META, NVDA) share Apple's scale and services economics; SONY, Samsung, DELL and HPQ share the hardware business. Net debt/equity uses gross debt less cash, floored at zero (most peers are net cash, so unlevering barely moves the beta). Apple's own regression beta is shown for reference and is close to the peer median.

COST OF EQUITY (CAPM)

Unlevered beta (peer median)	1.19
Apple net debt / equity (market; zero — Apple is net cash)	0.00
Relevered beta = $\beta_u \times (1 + (1 - t) \times D/E)$, Blume-adjusted if selected	1.12
Risk-free rate	5.0%
Equity risk premium	4.5%
Cost of equity = $r_f + \beta \times ERP$	10.0%

COST OF DEBT AND WEIGHTS

Pre-tax cost of debt	5.5%
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PEER BETAS (regression on weekly returns, Sep 2021 – Sep 2026)

Ticker	Market cap (US\$bn)	Total debt (US\$bn)	Cash (US\$bn)	Levered beta	Net D/E	Unlevered beta	Note
Tax shield rate	21.0%						
After-tax cost of debt	4.4%						
Market value of equity (US\$bn)	4,889.4						
Debt (US\$bn, book, 30 Jun 2026)	84.3						
Weight of equity	98.3%						
Weight of debt	1.7%						
WACC	9.9%						

Apple's market equity (~US\$5tn) dwarfs its US\$99bn of debt, so WACC ≈ cost of equity. The interview question is not the arithmetic but the ERP: every 0.5% on the ERP moves the WACC by ~0.55% and the value by ~10%.

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Operating forecasts by scenario, copied from Project 1 (Apple_3S_Model.xlsx) so this file stands alone

LATEST BALANCE-SHEET ITEMS FOR THE EQUITY BRIDGE (US\$bn, 30 Jun 2026 10-Q)

Total debt (current + long-term), 30 Jun 2026

84.3 Form 10-Q, quarter ended 28 Jun 2026: commercial paper + term debt (FY2025 year)

Cash, short-term and long-term marketable securities,

146.5 US\$62.4bn cash & ST investments + US\$84.1bn long-term marketable securities; t

	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Base case					
Revenue	441.1	463.2	486.3	505.8	526.0
EBIT	141.6	149.6	158.1	164.9	171.5
Effective tax rate	16.5%	16.5%	16.5%	16.5%	16.5%
D&A	12.4	13.0	13.6	14.2	14.7
Capex	13.7	14.4	15.1	15.7	16.3
Change in net working capital (+ = inflow)	(0.1)	0.2	0.2	0.3	0.4
Stock-based compensation (memo)	13.7	14.4	15.1	15.7	16.3
Upside case					
Revenue	453.6	489.9	524.2	555.6	589.0
EBIT	151.5	166.1	180.3	192.3	205.6
Effective tax rate	16.0%	16.0%	16.0%	16.0%	16.0%
D&A	12.7	13.7	14.7	15.6	16.5
Capex	15.0	16.2	17.3	18.3	19.4
Change in net working capital (+ = inflow)	3.3	0.3	0.2	0.5	0.3
Stock-based compensation (memo)	14.1	15.2	16.3	17.2	18.3
Downside case					
Revenue	424.5	433.0	441.6	450.5	459.5
EBIT	127.8	128.2	130.7	133.3	136.0
Effective tax rate	17.5%	17.5%	17.5%	17.5%	17.5%
D&A	12.3	12.6	12.8	13.1	13.3
Capex	11.9	12.1	12.4	12.6	12.9
Change in net working capital (+ = inflow)	(6.6)	0.6	0.1	0.1	0.1
Stock-based compensation (memo)	13.2	13.4	13.7	14.0	14.2

SELECTED SCENARIO (feeds the DCF)

	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	441.1	463.2	486.3	505.8	526.0
EBIT	141.6	149.6	158.1	164.9	171.5
Effective tax rate	16.5%	16.5%	16.5%	16.5%	16.5%
D&A	12.4	13.0	13.6	14.2	14.7
Capex	13.7	14.4	15.1	15.7	16.3
Change in net working capital (+ = inflow)	(0.1)	0.2	0.2	0.3	0.4
Stock-based compensation (memo)	13.7	14.4	15.1	15.7	16.3

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Unlevered free cash flow, discounting, terminal value two ways, equity bridge

Scenario: Base

UNLEVERED FREE CASH FLOW (US\$bn)

	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	441.1	463.2	486.3	505.8	526.0
EBIT	141.6	149.6	158.1	164.9	171.5
less: cash taxes on EBIT (at effective rate)	(23.4)	(24.7)	(26.1)	(27.2)	(28.3)
NOPAT	118.2	124.9	132.0	137.7	143.2
plus: D&A	12.4	13.0	13.6	14.2	14.7
less: capex	(13.7)	(14.4)	(15.1)	(15.7)	(16.3)
plus / (less): change in net working capital	(0.1)	0.2	0.2	0.3	0.4
Unlevered free cash flow	116.8	123.8	130.7	136.4	142.0
UFCF margin	26.5%	26.7%	26.9%	27.0%	27.0%

DISCOUNTING

Year fraction of cash flow in the forecast	0.04	1.00	1.00	1.00	1.00
Cash flow attributable to the holder (stub-adjusted)	4.9	123.8	130.7	136.4	142.0
Discount period (years from valuation date)	0.02	0.54	1.54	2.54	3.54
Discount factor at WACC	0.9980	0.9501	0.8644	0.7865	0.7155
Present value of cash flow	4.9	117.6	113.0	107.3	101.6

TERMINAL VALUE (FY2030 base) AND VALUATION

	Perpetuity grow	Exit multiple
Terminal value at FY2030	2,116.5	4,096.7
discount factor (end of FY2030)	0.6825	0.6825
PV of terminal value	1,444.5	2,796.1
PV of forecast cash flows	444.4	444.4
Enterprise value	1,888.9	3,240.4
terminal value as % of EV	76.5%	86.3%
less: total debt	(84.3)	(84.3)
plus: cash and marketable securities	146.5	146.5
Equity value	1,951.1	3,302.6

Apple Inc. — DCF Valuation

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Unlevered free cash flow, discounting, terminal value two ways, equity bridge

Scenario: Base

UNLEVERED FREE CASH FLOW (US\$bn)					
	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
diluted shares (bn)	14.715		14.715		
Implied value per share (US\$)	132.59		224.44		
premium / (discount) to current price	(60.1%)		(32.5%)		
Cross-checks (each method's assumption implied by the other)					
Implied exit EV/EBITDA from perpetuity method	11.4x				
Implied perpetuity growth from exit-multiple method			6.2%		
Implied P/E on LTM net income	15.1x		25.6x		
Market P/E on LTM net income (for comparison)	37.9x		37.9x		

If the perpetuity-growth method implies an exit multiple far from where the peers trade, or the exit-multiple method implies a growth rate above nominal GDP, one of the terminal assumptions is wrong. The two methods should bracket a defensible range rather than agree exactly.

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Two-way tables recomputed with the DCF formula (no Excel data tables, so they work everywhere)

IMPLIED SHARE PRICE (US\$): WACC × TERMINAL GROWTH (perpetuity method)

WACC ↓ / g →	2.0%	2.5%	3.0%	3.5%	4.0%
7.5%	169.41	183.50	200.71	222.23	249.89
8.0%	155.71	167.28	181.17	198.14	219.36
8.5%	144.12	153.78	165.19	178.88	195.62
9.0%	134.20	142.36	151.89	163.14	176.64
9.5%	125.61	132.59	140.63	150.02	161.12
10.0%	118.10	124.12	131.00	138.94	148.20
10.5%	111.48	116.72	122.65	129.44	137.27

IMPLIED SHARE PRICE (US\$): WACC × EXIT EV/EBITDA (exit-multiple method)

WACC ↓ / multiple →	16.0x	19.0x	22.0x	25.0x	28.0x
7.5%	186.93	215.28	243.62	271.96	300.30
8.0%	183.84	211.65	239.47	267.28	295.10
8.5%	180.81	208.11	235.41	262.71	290.01
9.0%	177.85	204.65	231.45	258.24	285.04
9.5%	174.95	201.26	227.57	253.88	280.18
10.0%	172.12	197.95	223.78	249.61	275.43
10.5%	169.36	194.71	220.07	245.43	270.79

CURRENT PRICE AND SELECTED-CASE OUTPUTS

Share price (US\$)	332.27
WACC (selected)	9.9%
Perpetuity-method price	132.59
Exit-multiple price	224.44
Midpoint	178.51
Midpoint vs price	(46.3%)

Read the tables as ranges, not points. With terminal value at 70–80% of enterprise value, a 1% move in WACC or 0.5% in g is a 10–15% move in value; that is a property of every DCF of a mature company and the reason the football field (Project 5) shows a bar, not a line.

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Integrity checks · should all be TRUE

Perpetuity and exit-multiple methods use the same PV of forecast cash flow	TRUE
WACC above terminal growth (perpetuity formula valid)	TRUE
Discount periods increase by one year after the stub	TRUE
Base-case FY2026 UFCF within 15% of Project 1's FCF (sanity)	TRUE
Implied exit multiple from perpetuity method between 10x and 40x	TRUE

OVERALL

MODEL OK